Get Enterprise Ready: AI Between Regulation, Innovation & Responsibility

In five years, which will matter more for AI adoption?

1 = Trust
2 = Regulation
3 = InnovationChoose your bet.

SWISS AI LAW OVERVIEW

- No horizontal AI Act – reliance on sectoral laws
- Civil liability regimes for defective AI systems
- Administrative law obligations for public sector AI
- Influence of human rights (personality rights, anti-discrimination)

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SWISS SECTOR-SPECIFIC AI REGULATION

- Financial markets: FINMA circulars on algo-trading & outsourcing
- Healthcare: MedDO & clinical evaluation of software as medical device
- Transport & mobility algorithms (autonomous systems)
- Employment law: automated decision systems & fairness duties

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EU AI ACT – IMPACT ON SWISS COMPANIES

- Extraterritorial scope for providers & deployers
- High-risk obligations: QMS, logging, testing, data governance
- Prohibited practices: subliminal manipulation, biometric categorisation
- Market access: CE marking for AI systems

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AI RISK MANAGEMENT – LEGAL REQUIREMENTS

- Technical documentation & model lifecycle records
- Risk controls: accuracy, robustness, cybersecurity
- Obligation to conduct post-market monitoring
- Incident reporting to competent authorities

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DPIA – LEGAL DEEP-DIVE

- Mandatory for profiling with legal effects under Swiss law
- Risk scoring methods: identifiability, inference risks, autonomy harms
- Model explainability & traceability as safeguards
- Documentation requirements for audits & litigations

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DPIA – PRACTICAL METHODOLOGY

- Analyse model purpose, training data, deployment context
- Assess bias potential, accuracy, drift
- Red-teaming for impact validation
- Public-sector DPIA requirements under Zürich IDG

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IP LAW – TRAINING DATA & COPYRIGHT

- Licensing risks in scraped datasets
- Swiss TDM rules: current gaps & proposed reforms (opt-out model for commercial and industrial purposes)
- Derivative works & human creativity threshold
- Enterprise exposure to infringement claims

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IP LAW – CONTRACTS & RISK MITIGATION

- Representations & warranties on dataset provenance
- Audit rights & retraining obligations
- Indemnity clauses for third-party claims
- Dataset governance frameworks

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ZÜRICH IDG

- Duty to inform when algorithms are used in public decisions
- Mandatory risk assessments for digital systems
- Human-in-the-loop for impactful decisions
- Auditability & documentation obligations

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ZÜRICH IDG

- Workflow for public authorities rolling out AI
- Templates for transparency notices
- Record-keeping standards
- Common errors: misclassification as low-risk system

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AI GOVERNANCE – ENTERPRISE REQUIREMENTS

- AI policy framework (roles, escalation, monitoring)
- Model inventory & AI register
- MLOps & Responsible AI integration
- Internal audit & compliance testing

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MODEL RISK MANAGEMENT (MRM)

- Validation of accuracy, robustness, stability
- Bias & fairness audits
- Monitoring for drift & anomalies
- Fail-safe controls & emergency off-switch

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AI CONTRACTING – LEGAL ESSENTIALS

- Vendor disclosures on training data & architecture
- Service levels for model performance
- Security obligations & breach notifications
- Termination rights for compliance failures

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AI LIABILITY SCENARIOS

- Faulty recommendation causing financial harm
- Public-sector AI causing unequal treatment
- Product liability for embedded AI systems
- Liability allocation in AI supply chains

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CASE STUDY: DISCRIMINATORY HIRING AI

- Bias source: training data or model architecture?
- Legal impact: personality rights & anti-discrimination
- Controls: fairness metrics, human review
- DPIA documentation & remediation duties

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CASE STUDY: PUBLIC SERVICE DECISION

- Zürich IDG requirements for human oversight
- Explainability expectations for affected individuals
- Appeal rights & procedural fairness
- Risk classification process

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CASE STUDY: UNLICENSED TRAINING DATASET

- IP infringement risks & liability chain
- Risk mitigation via contractual controls
- Dataset due-diligence checklist
- Litigation exposure & insurance coverage

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CASE STUDY: AI INCIDENT & REPORTING

- Detection & triage of model failure
- Incident reporting duties (EU AI Act influenced)
- Enterprise escalation structure
- Remediation documentation

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CLOSING – CONTROLS & OPPORTUNITY

- AI governance as enabler, not blocker
- Legal certainty through documentation
- Trust via transparency & accountability
- Responsible innovation as competitive advantage

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QUESTIONS?

NOW

OR LATER

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